

Motors grew by 588 per cent. New entrants like Kia and MG Motor have grabbed significant market share. Unlike Maruti and Tata Motors, M&M has no strong brand below ₹10 lakh, but it has created a space for itself in the premium SUV segment (with the Scorpio, Thar and XUV700). And it aims to keep its focus on that segment.

Jejurikar says M&M makes ‘authentic’ SUVs while most competitors use car platforms to make SUVs, but the good thing is that the market is growing because more consumers are coming in.

According to Aniket Mhatre, Research Analyst-Automobiles at HDFC Securities, M&M has been slightly behind the curve in sustaining its UV share. “In 2014-15, it had almost 40 per cent share. It fell to as low as 15 per cent, losing out in the compact SUV category... M&M did not have a product there. So, since FY19, it has started launching these new products and recovering its lost share,” he says.

Gaurav Vangaal, Associate Director of S&P Global Mobility’s Light Vehicle Production Forecast for the Indian sub-continent, says: “The likes of Kia or Hyundai started launching very stylish products with very high-end features whereas M&M lagged in terms of styling. But with the launch of the recent Thar and XUV700, they’re reasonably confident to come back in terms of market share.”

THE STRETCH AHEAD

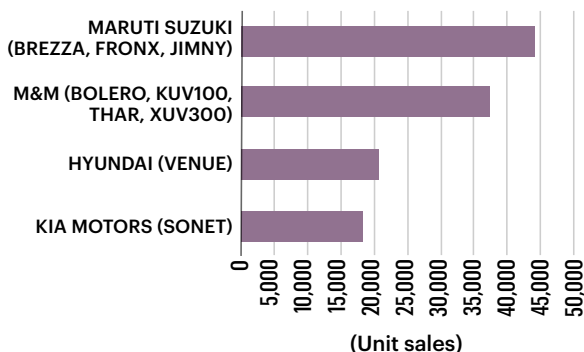
M&M aims to stay No. 1 in revenue market share in SUVs and make 20-30 per cent of its SUV portfolio electric by 2030. It has announced investments of over \$1 billion in its EV business. Plus, it has signed a sourcing arrangement with the Volkswagen Group, a leading global maker of EVs. British International Investment (BII), the UK development finance institution, has invested ₹1,925 crore (\$250 million) in a new four-wheeler passenger EV company called Mahindra Electric Automobile Limited.

Shah is very clear about the road ahead. “Today, we are not competing only with the traditional companies. In every segment, we are competing with startups, and we have to be as agile as them. And that’s something we’ve done tremendously well [as a group]. So, if we look at the BII investments in EV, we completed that in a timeframe that no one at Mahindra or BII would have believed was possible,” he says. “As you think about our Born Electric SUVs, we will be the No. 1 leader in that space by far.”

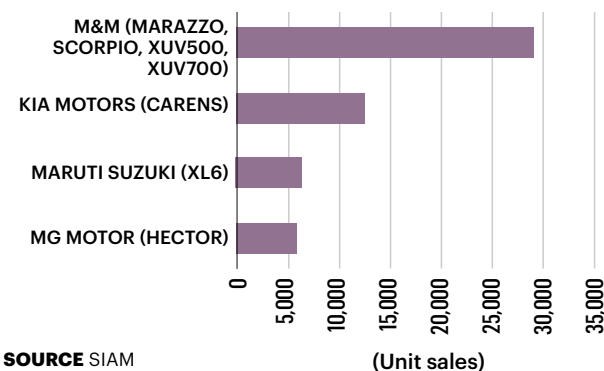
Jejurikar is excited about EV products primarily because M&M’s electric cars promise to offer a wonderful driving experience. “We are not betting on the economy (cost of ownership) story. We are betting on the experience story. EVs will be about stunning de-

FRONT RUNNER

M&M is placed second in the below-4-metre SUV segment, with a strong suite of products...



...While in the 4-4.7-metre SUV segment, M&M is the clear leader



SOURCE SIAM

sign, software and human-machine interfaces,” he says.

Velusamy’s team has already started integrating tools such as ChatGPT into the new cars. Since EVs will become quiet inside, the focus will be on branded audio. “How we mask the sound from the outside and integrate 5G modems, etc., will be paramount in an EV,” says Velusamy. The competition will be the smartphone industry and not the traditional petrol or diesel cars, powered by ICE or internal combustion engines. He believes design and tech will be the two key things that will drive future purchases.

In August 2022, besides the five SUVs from BE, M&M unveiled an e-XUV in the UK. “Our Born Electric cars will bring in a very different profile of customers. There will be some who would want to own a legendary brand like the Thar or Scorpio, but also someone who would want a totally independent brand,” says Nakra. “We are going to put all our energy and resources behind EVs [in comparison to hybrids].”

HDFC Securities’ Mhatre notes: “They don’t want to